

**BAKER
HUGHES**

Rpt Date 01/Jan/2007			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)										
Job# 1		Spud Date 09/Nov/2006			MD 2591.00 m			Progress 0.00 m		Present Activity Stuck Pipe									
Operator Peak Petroleum Indust. Limited			Company Rep Tom G.May / Peter Vermeulen			Contractor Dolphin Drilling Ltd			Contractor Rep Steve Milne / Terry Nanidis										
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria			Rig BULFORD DOLPHIN									
Drilling Assembly						Casing		Volumes	Pump Information										
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min		
12 1/4		HCC		PDC			19 1/2	172.50	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0			
Drill Collars			Drill Pipe			20	18 3/4	291.60	1376	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0			
OD in	ID in	Length m	OD in	ID in	Length m	13 3/8	12.415	800.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0			
8	3 1/4	6.57	5	4.276	2348.34		12 1/4	2591.00	443										
8	2 5/8	9.35	5	3	158.56				Tot Active										
8	2 3/4	27.29							1819	Circulation Times									
8	2 13/16	9.05							In Storage	Surface to Bit		min/stks		Total System		min/stks			
									543	Bottoms Up		min/stks							
Mud Properties						Max Ann Velocity			Hole Information										
Property			Fluid Spec		1	2	3	AV Riser	ft/min	Standpipe Pressure 0 psi		Water Depth 146.00 m							
Sample From					Active Pit	Active Pit		AV Casing	ft/min	Hole Flow USgal/min		Riser Booster Rate USgal/min							
Check Time					10:30	23:30		AV Open Hole	ft/min	Solids Analysis									
MD m					2591.00	2591.00		Vc Open Hole	ft/min	Property		1	2	3	4				
TVD m					2449.98	2449.98		Vc Drill Pipe	ft/min	LGS %		5.03	5.03						
Bit Depth m					2588.00	2588.00		Min Ann Velocity		LGS lb/bbl		45.81	45.81						
Inc deg					1.46	1.46		AV Riser	ft/min	HGS %		5.40	5.40						
Density ppg					9.30	9.30		AV Casing	ft/min	HGS lb/bbl		79.54	79.54						
Funnel Visc. sec/quart					69.0	71.0		AV Open Hole	ft/min	Avg Dens Sol sg		3.4288	3.4288						
Test Temp degF					95.0	95.0		Bit Information											
Rheol Temp degF					120.0	120.0		Size	12 1/4 in										
PV cP					26	26		Hours On Bit											
YP lbf/100ft^2					15	18		BIT Number											
10sec Gel lbf/100ft^2					6	8		BHA Number	10	Rheology									
10min Gel lbf/100ft^2					11	13		Depth In	2385.00 m	600 RPM		67	70						
HTHP Filtrate cc					4.0	4.0		Bit RPM		300 RPM		41	44						
HTHP Cake in/32					2.0	2.0		WOB	klbf	200 RPM		30	33						
HTHP Temp degF					250.0	250.0		Nozzles	4x16:4x12	100 RPM		23	25						
HTHP Pressure psi					500	500		Bit Hydraulics		6 RPM		7	9						
Retort Water %					22.0	22.0		TFA	1.2272 in^2	3 RPM		6	7						
Retort Base Fluid %					65.5	65.5		Nozzle Vel	ft/sec										
Retort Solids %					12.5	12.5		Bit Press Loss	psi										
Corrected Solids %					10.4	10.4		HHP / Area	HP/in^2	Hydraulic Analysis									
Oil:Water Ratio					75:25	75:25		HHP	%	Behavior Index (n)									
Alk (Whole Mud-POM) cc/cc					1.70	1.60				Consistency Index (k)								#sec^n/100ft^2	
Cl (Whole Mud-Clom) cc/cc					50000	50000				ECD @ Bit Depth								ppg	
Ca (Whole Mud-Caom) cc/cc					0	0				ECD @ Casing Shoe								ppg	
Excess Lime lb/bbl					2.2	2.1		Fluid Comments/ Recommendations											
Brine Density sg					1.24	1.24		Continued alternating & circulating pits #1, #2 & #4 to shear mud. Organise pits to take mud from boat in daylight. TOTAL SURFACE ACTIVE VOLUME (9.3ppg) = (Act Pit #2 - 266 bbls + Sand traps - 150bb) = 416 bbls. TOTAL RESERVE VOLUME OF 9.3 ppg MUD = (Pits #1 - 131 bbls + pit #4 - 331 bbls) = 462 bbls. TOTAL USEABLE (9.3 ppg) MUD = (Act Pit #2 - 266 bbls + Res Pits 1&4 - 462 bbls) = 724 bbls. OTHER FLUIDS - Base Oil in Chemical pit - 62 bbls & Premix in Slug piit - 19 bbls											
NaCl % wt					0	0													
CaCl2 % wt					26	26													
Elect. Stab.V					538.0	553.0													
Sand %					0.40	0.40													

ADVANTAGE Daily Drilling Fluids Report - 57

INTEQ

Rpt Date 01/Jan/2007		Well Name/No Bilabri D4		Section Name/No 12-1/4" Section #3		Mud System SYN-TEQ (PARA)	
Job# 1		Spud Date 09/Nov/2006		MD 2591.00 m		Progress 0.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep Tom G.May / Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Steve Milne / Terry Nanidisi	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
Rig BULFORD DOLPHIN							

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	175, 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	0.0	210, 2 x 175	0.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					0	0	

Volumes							
Additions bbl		Losses bbl		Total Volumes bbl			
Mud Added	Weight Materials	Downhole	20	Left In Pit	Starting Volume	2391.1	Riser w/o Pipe
Brine	Water	Cased Off		Trip Losses	Daily Additions		Casing w/o Pipe
Base Fluid	Product	Left In Hole		Injected	Daily Losses	29	Open Hole w/o Pipe
Recycled	Other	Discharged		Spill To Environment	Ending Volume	2362.1	String Displacement
		SCE		Onshore Disposal	Net Change	-29.0	String Capacity
		Evaporation		Returned			Total Hole w/ Pipe
		Other Losses	9				Total Active
							Total Reserve

IADC Hours							
Stuck Pipe				24			
Primary Currency USD				Secondary Currency		Totals USD	
Daily Product Cost		0.00		Daily Product Cost		0.00	
Daily Tax		0.00		Daily Tax		0.00	
Debit/Credit		0.00		Debit/Credit		0.00	
Daily Engineering Cost		900.00		Daily Engineering Cost		0.00	
Total Daily Cost		900.00		Total Daily Cost		0.00	
Total Inventory Value		520403.38		Total Inventory Value		0.00	
				Deck Load		596464 lb	

Products and Services											
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Bulk											
MIL-BAR	1000 kg	115						115	141.34	95.43	
Oil Based Product											
CARBO-GEL	25 kg	300						300	5.33	6.40	
MIL-LIME	25 kg	125						125	6.71	2.72	
OMNI-COTE	55 USgal	10						10	0.33	0.16	
OMNI-MUL	55 USgal	11						11	6.29	2.83	
OMNI-PLEX	55 USgal	9						9	4.33	3.76	
OMNI-TEC	55 USgal	14						14	3.19	1.71	
PARA-TEQ	1 bbl	930						930			
Water Based Product											
CAUSTIC SODA	25 kg	32						32			
MIL-GUAR	25 kg	50						50	0.35	0.13	
SOLUFLAKE	25 kg								0.13		
Xanthan Gum	25 kg	39						39	0.59	0.22	
XCIDE 102	55 USgal	1						1	0.01		
LCM											
CALCIUM CARBONATE - FINE	25 kg	252						252	9.07	1.54	
CALCIUM CARBONATE - MED	25 kg	265						265	10.22	2.11	
KWIKSEAL - MEDIUM	25 kg								0.11		
MIL-PLUG FINE	25 kg								0.09		
Other											
BLACK MAGIC SF T	25 kg	120						120			
CALCIUM CHLORIDE (97%)	25 kg	200						200	10.17	13.69	

BHDF Fluids Rep		BHDF Rep Phone		Warehouse		Warehouse Phone		Coordinator		Daily Cost		Cumulative Cost		Inventory Value		Page 2	
Waboso Peter / Kunle Olayinka		234-803-402-0440		Onne		234-84-462609		Lawson Ogaree		900.00 USD		1454842.59 USD		520403.38 USD			

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.